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From APEC to mega-regionals: the evolution of the Asia-Pacific trade architecture

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ABSTRACT
Of the recent transformations in the political economy of the Asia-Pacific, one of the most dramatic has been to the region's trade architecture. For many years, Asian government were committed trade multilateralists: pursuing liberalisation either globally through the GATT, or regionally via APEC's model of open regionalism. Underpinned by US and Japanese leadership, this system provided the foundation for the export-driven Asian economic miracle. But since the early twenty-first century, the system has been rapidly transformed. The proliferation of preferential trade agreements has threatened to undermine the cohesiveness of regional trade arrangements. The emergence of WTO-Plus style liberalisation, emphasising services, investment and intellectual property, marks the maturation of a system previously focussed on tariff reduction and manufacturing exports. Since 2011, competition between two 'mega-regional' proposals – the Trans-Pacific Partnership and the Regional Comprehensive Economic Partnership – is also indicative of new splits which cut across traditional developmental divides. Growing geopolitical rivalry between the US and China has also raised question of who will lead the next round of liberalisation in the region. Exploring these new trends, this paper argues the trade architecture of the Asia-Pacific is entering is becoming more contested and fragmented, with major implications for economic regionalism in coming years.

KEYWORDS Preferential trade agreements; economic regionalism; ASEAN; APEC; Trans-Pacific Partnership (TPP); Regional Comprehensive Economic Partnership (RCEP)

Introduction

For many years, the Asia-Pacific trade architecture was known for its institutional deficit. Leaders in the region were committed multilateralists, seeking unfettered access to world markets to power their export-led growth models, but were also passive rule-takers, abstaining from influencing the operation of the multilateral trading system. Asian leaders were also known for their 'allergy' to formal regional institutions. Jealously guarding their policy-making autonomy, they frowned upon binding regional trade frameworks, welcoming instead the benefits of economic interdependence spun through regional production networks. This Asia would be hard to recognise today after three decades of active institution-building and wide ranging experimentation with

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contrasting templates. Institutional proliferation has run the gamut from Asia-Pacific initiatives to Asian-only proposals, from voluntary approaches at policy coordination to highly legalised and enforceable disciplines, from bilateral trade negotiations to the advance of mega-regional trade agreements.

But the institution-building efforts have yet to generate a cohesive and multilateralised trading structure for the Asia-Pacific, comparable to those found in other regions such as Europe and the Americas. This paper argues two central forces explain persistent trade fragmentation despite recent institution-building activism: enduring development gaps and geopolitical contests. Through the prism of Asia-Pacific's political economic divides we explain the evolution of the regional trading architecture over the span of the last 30 years: from the launch of the Asia-Pacific Economic Cooperation Forum (APEC) and the ASEAN Free Trade Area (AFTA), to a surge of bilateral trade agreements, and to the onset of the mega-regionals, the Trans-Pacific Partnership (TPP) and the Regional Comprehensive Economic Partnership (RCEP). Power shifts, leadership contests, and conflicting preferences on desirable levels of liberalisation will continue to feed the forces of fragmentation for the foreseeable future.

Constructing 'new regionalism' in Asia: APEC and AFTA

Trade regionalism – the development of intergovernmental agreements to regulate trade flows – is a relatively recent phenomenon in the Asia-Pacific. For most of the post-war period, few structures for formal economic cooperation existed. ASEAN, Asia's first and arguably best-institutionalised regional body, was initially oriented towards diplomatic and security goals: alleviating tensions between its members, and reducing the influence of external actors in Southeast Asia (Narine, 2008). Cold War rivalry between Asia's capitalist and socialist economies imposed partitions, both geopolitical and political-economic, that limited the scope for institution-building. While trade liberalisation proceeded gradually from the mid-1970s, most Asian governments could be classified as 'global multilateralists' at this time. A commitment to liberalisation through the GATT/WTO was a defining feature of national trade policies throughout the region, which reached its zenith with the historic completion of China's WTO accession negotiations in 2001. In such a context, there was little interest in, nor many results from, attempts to promote regional trade integration. By the late 1980s intra-ASEAN trade accounted for only 5% of the bloc's exports (Parreñas, 1998), reflecting the export-oriented industrialisation strategies of the time that prioritised the export of labour-intensive manufactures to western markets. The initial phases of the 'East Asian economic miracle' had taken hold in the absence of regional trade cooperation schemes.

Concerted attempts to establish economic regionalism in the Asia-Pacific would begin in the late 1980s. These coincided with a broader global trend toward regionalist schemes, which was subsequently labelled the 'new regionalism' (Hettne, 2005). Differentiated from the 'old' regionalism of the Cold War, the new forms of regionalism had a number of distinguishing features. They were global in scale, appearing in Asia, an expanded European Union, and North and South America at roughly the same time. They were independent of great power politics, blurring the supposed divide that had hitherto divided regional organisations into performing economic or security functions (but not both). They were diverse in form and function, taking a wide variety of institutional forms from the very informal through to the more formal types of

intergovernmentalism typified by the EU. In the economic sphere they were also 'bottom-up' rather than 'top-down', as governments responded to emerging patterns of regional interdependence and the demand for regulative institutions emanating from economic actors (Breslin & Higgott, 2000). As the salience of security agendas declined with the end of the Cold War, new opportunities for economic regionalism opened up around the globe.

While the new regionalism was a global phenomenon, several factors unique to the Asia-Pacific gave it particular momentum there. One was the defusing of ideological partitions in the region. This was achieved through the inclusion of the socialist 'CMLV' countries in the (hitherto capitalist) ASEAN bloc, and a softening of US opposition to regionalist schemes in Asia (Breslin & Higgott, 2000; Narine, 2008). Another was the growth of regional production networks following China's open door economic reforms, which spread stages of the manufacturing process in textiles, electronics and consumer goods across many Asian economies. Changing domestic political settlements also played a part, with 'liberal reformers' gaining ground against economic nationalists following the adoption of export-oriented and FDI-led growth models (Stubbs, 2000). Economic crises would also act as a catalyst for change. A region-wide recession in the mid-1980s, followed by the Asian Financial Crisis (AFC) of 1997–98, saw governments conceptualise regional integration as a necessary step to protect the Asia's economic dynamism (Beeson, 2005).

These political imperatives found expression in two institutional vehicles launched during this period. The first was APEC, a dialogue body structured around a series of annual Leaders' Meetings. Its origins lay in a series of proposals for a 'Pacific Free Trade Area' sponsored by the Japan since the 1960s, which had initially failed to gain US support, and faced outright opposition from Southeast Asian governments protective of ASEAN's regional position. But by the late 1980s APEC's time had come. Deepening economic interdependence, and declining ideological rivalries enabled an Australian proposal to establish APEC to succeed in 1989 (Ravenhill, 2001). APEC was the first institutional embodiment of what would become an 'Asia-Pacific' template for Asian regionalism. As Stubbs (2005) argues, its novelty lay in bringing together two markedly different groups of countries: the developed democracies of Japan, the USA, Canada and Australia; with the developing (and somewhat less democratic) economies of China and Southeast Asia. APEC's first major achievement was the declaration of the ambitious *Bogor Goals* at only its second Leaders' Summit in 1994. These called for members to work towards fully 'free and open trade and investment' in the Asia-Pacific, to be implemented by industrialised countries not later than 2010 and industrialising members by 2020 (APEC, 1994).

Given the wide political and economic differences amongst its members, flexible mechanisms to achieve these goals were required. A solution came via 'open regionalism', an approach to regional integration that has subsequently became APEC's *sine qua non*. Unlike 'closed' forms of regionalism (where the reciprocally-negotiated swapping of trade preferences discriminates against non-members), open regionalism is characterised by *unilateral* liberalisation which does not discriminate against outsiders. It was also a *voluntary* process, fostered through dialogue rather than binding intergovernmental agreements (Ravenhill, 2001). While trade economists consider open regionalism desirable as it does not introduce regional trade distortions, in APEC its adoption was as much driven by political necessity. Members from developing Asia had ambivalent attitudes to trade liberalisation: keen to adopt it in certain growth industries, but more

reluctant in 'sensitive' sectors where protected domestic interest groups were politically important. They also favoured a dialogue-based approach to regionalism, as this accorded with the consensus-building approach embodied in the 'ASEAN Way' (Nesadurai, 2003). As Ravenhill (2001) concludes, the consequence of open regionalism was an APEC that was 'weak by design', where voluntary adherence to vaguely-defined liberalisation goals allowed states considerable room to move when implementing agreed reforms.

In Southeast Asia, a somewhat different approach to economic regionalism was developing at the same time. In January 1992, the (then-six) ASEAN members agreed to work towards forming the ASEAN Free Trade Area (AFTA). By ASEAN's standards it was an extremely ambitious initiative, as the bloc had achieved very little in terms of economic cooperation over its 25-year history (Stubbs, 2000). Core to the agreement was the 'Common Effective Preferential Tariff' scheme, which saw members commit to reducing tariffs on intra-ASEAN trade to between 0% and 5% within a specified timeframe. In subsequent years, negotiations processes for services, investment and industrial cooperation were added to the agreement (Nesadurai, 2003). While APEC offered only structured dialogue, AFTA embodied a more formal approach based on explicitly and binding commitments for tariff liberalisation. Two factors, unique to the Southeast Asian context, helped propel this approach. One was concerns over competition with China for FDI, which had intensified following the success of China's open door economic reforms. Another was the catalysing effect of economic crises, particularly the AFC, which led to the addition to investment negotiations to the AFTA process in the late 1990s (Yue, 1998).

While AFTA appeared strong on paper, its implementation left much to be desired. The initial agreement was drawn up very quickly in the space of only a few months, leaving implementation mechanisms for subsequent discussion. As Nesadurai (2003) observes, this process allowed for considerable 'negotiated flexibility' which diluted the original liberalisation commitments. Malaysia delayed the inclusion of automobile products to protect its infant Proton 'national car' project; Indonesia did the same for several agricultural products; however, almost no progress was achieved on services by the end of a third round of negotiations in 2004. Moreover, the original AFTA text was relatively weak by the standards of trade agreements of the day. Many sensitive but important sectors were included in its exclusion list; it lacked a dispute settlement mechanism needed to aid enforcement; and the CEPT tariff range of 0%–5% was a relatively modest cut in comparison to prevailing WTO rates. Voting with their feet, many Southeast Asian firms simply did not make use of AFTA, as the benefits it offered were insufficient to compensate for the transaction costs involved in claiming the CEPT tariff (Ravenhill, 2008b).

The outcome of this initial wave was very much in keeping with a core feature of new regionalism: diversity in institutional form and function. By the late 1990s, regional trade liberalisation efforts had coalesced into two distinct, and somewhat competing, models. APEC offered the broader and more open vision, bringing together all Asia-Pacific economies across both ideological and development divides. But to accommodate these differences, the very informal institutional design of open regionalism was required. In comparison, AFTA offered a narrower but tighter approach. By conceptualising the region as Southeast Asia, it excluded both the economic powerhouses of Northeast Asia, as well as extra-regional powers such as Australia, Canada and the US. This selective approach to membership enabled a much stronger form of trade regionalism, albeit one whose impact suffered from the legacy of the ASEAN Way. Asian governments had

decisively shifted from being trade multilateralists to active regionalists. However, there were clearly differing views on precisely who was (and was not) part of the region, and what the appropriate institutional form for liberalisation efforts should be. Unlike other regions where a single body led the process (e.g. NAFTA, EU), the Asia-Pacific would be home to multiple institutional vehicles. As Breslin and Wilson (2015) have recently argued, the Asia-Pacific had become a fragmented 'region of competing regions'.

The new bilateralism in Asian trade policy

This fragmentation of the Asia-Pacific trade architecture accelerated during the early 2000s. Dissatisfied with the outcomes of the APEC and AFTA processes, many Asian governments shifted from regional to bilateral trade strategies during this decade. Prior to this time the Asia-Pacific had seen relatively little bilateralism, with only four bilateral free trade agreements (FTAs) in force in the region in 2001. But by 2015, Asia-Pacific governments had completed 54 bilateral FTAs amongst themselves, in addition to 55 with extra-regional economies (Figure 1). Labelled the 'new bilateralism' by trade economists (Ravenhill, 2003), this phenomenon was global in scope and occurred in all regions of the world economy. The Asia-Pacific was nonetheless the epicentre of this global shift, with regional governments accounting for two-thirds of all bilateral FTAs completed between 2001 and 2015. The result was yet another dramatic – and further fragmenting – change in the regional trade architecture: from a nascent multilateral system based on APEC and AFTA, to a bilateral system dominated by FTAs.

The primary push for bilateralism were the regions developed country governments: Singapore, Japan, Korea and Australia. These governments initiated the largest number of negotiations, and (with the exception of Japan) they were successful in completing deals with major trade partners such as the USA, China, India and each other (Table 1). Enthusiasm in developing Asia was more muted, with governments completing fewer

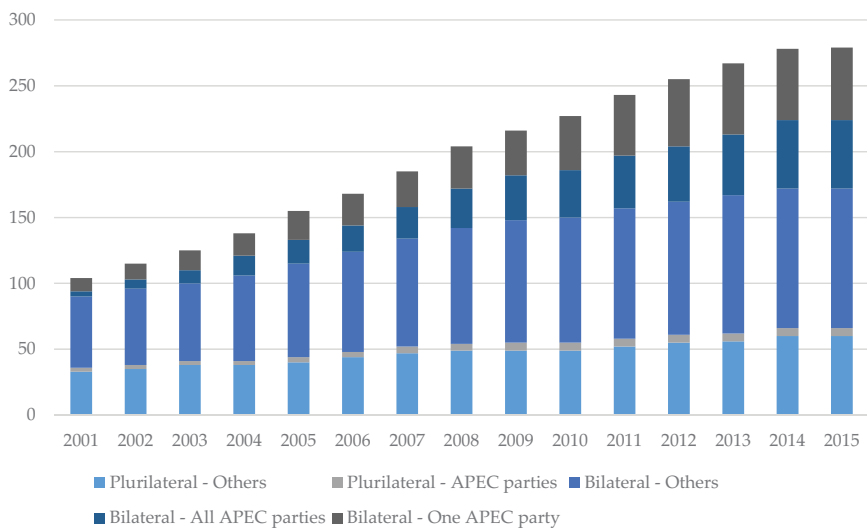

Figure 1. Plurilateral and bilateral FTAs in force by region of members, 2001–2015. Source: Authors' calculations from WTO (2016).

Table 1. FTA initiatives of Asia-Pacific governments as of September 2016.

	In effect	Signed, not yet in effect	Under negotiation	Total FTA initiatives	Significant partners (excl. ASEAN)
Australia	12	1	5	18	China, Japan, Korea, USA
Brunei	8	1	2	11	Japan
Cambodia	6		2	8	
China	16		7	23	Australia, Singapore, Korea
Indonesia	9	1	7	17	Japan
Japan	14	2	8	24	Australia, India, Singapore
Korea	15	1	8	24	Australia, EU, India, Singapore, USA, China
Lao PDR	8		2	10	
Malaysia	14	3	5	22	Australia, India, Japan
Myanmar	6	1	3	10	USA
New Zealand	11	1	5	17	Australia, China, Korea, Singapore
Philippines	7		4	11	Japan
Singapore	20	2	8	30	Australia, China, India, Japan, Korea USA,
Thailand	13	1	8	22	Australia, China, Japan
Vietnam	9	2	5	16	Japan, Korea
Total	**168**	**16**	**79**	**263**	

Source: Authors' compilation from ADB (2016).

deals predominantly with lower-value but politically-easier partners. This partially reflects the fact that Southeast Asian governments have pursued bilateral FTAs collectively rather than individually, signing six 'ASEAN+1' FTAs with Japan, Korea, China, Australia, New Zealand and India. For Southeast Asian governments, this approach was favoured as it allowed a pooling of resources when negotiating with the region's economic powerhouses, as well as reinforcing the centrality of ASEAN as a regional institution (Cheng, 2004).

The turn to bilateralism reflected a number of overlapping agendas. The first was a desire to advance liberalisation further and faster than existing institutions had proven capable. Within only a few years of its launch in 2001, the WTO's Doha Round had become extremely fraught due to differences between developed and developing economies (Desker, 2004). Similarly, the institutional weaknesses of APEC and AFTA meant neither had taken their liberalisation initiatives very far (Dent, 2006). In this context, bilateral FTAs were seen as a second best option, which could advance liberalisation while multilateral bodies were stalled. For some developed economies, they also provided an opportunity to advance liberalisation in the 'WTO-Plus' areas of investment, services and intellectual property, where developing country governments had hitherto proven reluctant to engage (Ravenhill, 2008a). Once these dynamics were in play, the turn to bilaterals became self-reinforcing through a spill-over mechanism Baldwin (1999) has labelled a 'domino effect'. FTAs are positional goods (which benefit insiders at cost to outsiders), and as their number multiplies governments need to defensively seek their own FTAs to avoid relative disadvantage.

Political economy factors at the domestic level also contributed. In comparison to multilateral liberalisation, bilateral FTAs provide a 'quick and easy' way to obtain preferential access into key export markets with relatively lower costs of adjustment. As a result, many used FTAs as a mercantilistic export promotion tool. As the export dynamism of many regional economies slowed in the late 1990s, governments began to view bilateral FTAs as a way to either safeguard their existing, or open new, markets for

their export sectors (Aggarwal & Koo, 2005). Large businesses became a major supporter as well, as they were perceived to help 'level the playing field' for Asian firms which were otherwise outsiders to regional trade blocs in North America and Europe (Dent, 2006; Ravenhill, 2003). In the case of Japan and Korea, FTAs were also used as lever for domestic reform. This was especially evident in the highly-protected agriculture sector, where FTAs with several food exporters were used by pro-liberalisation forces to soften opposition to agricultural trade reform (Solís, 2010).

However, some motives for bilateral FTAs had little, if anything, to do with economic considerations. As FTAs are treaties, they are inherently acts of diplomacy that involve signalling between governments. Many Asia-Pacific states have used the agreements to advance political objectives unrelated to trade policy. Security has been one goal, evident in the US strategy of using FTAs to reward security partners during the 'War on Terror' in the early 2000s (Higgott, 2004). Others have used them as a tool to cement diplomatic relationships, such as China and Taiwan's inclusion of FTAs in their broader diplomacy toolkits (Hoadley & Yang, 2007). Sino-Japanese contests for regional leadership were also a factor, with both governments competitively using FTAs (particularly with the ASEAN states) to build influence with regional governments (Aggarwal & Koo, 2005). They have also been used to improve resource security, with the Japanese, Chinese and Korean governments all seeking special access to mineral and energy supplies in their FTAs with resource-rich economies like Australia and Indonesia (Wilson, 2012). As these objectives have little to do with trade policy, several observers have argued that the turn to trade bilateralism in the Asia-Pacific was driven as much by political as economic motives (Dent, 2006; Ravenhill, 2008a).

Despite being an attempt to improve upon the weak outcomes of multilateral trade regionalism via APEC and AFTA, bilateral FTAs also failed to live up to expectations. One problem concerned the 'quality' of the agreements. The majority of FTAs in the Asia-Pacific are between economies with relatively low bilateral trade volumes, with small states like Singapore, Chile and Peru heavily over-represented. This reflected a pattern where governments chose to pursue 'micro-FTAs' with easy and relatively uncontroversial partners, at the expense of more difficult deals with regional powerhouses such as Japan, China and the US (Dent, 2006). As had occurred in the multilateral trade initiatives, sensitive sectors such as agriculture were routinely carved-out of the agreements, undermining their utility as a device for genuine liberalisation (Ravenhill, 2008a). Moreover, while developed country governments' FTAs consistently featured WTO-Plus provisions, China and the ASEAN states proved extremely reluctant to include these issues in their agreements in a meaningful way (Capling & Ravenhill, 2011). This raised doubts over whether bilaterals could help the region as a whole move forward while multilateral bodies were deadlocked, as their advocates had initially hoped. Shifting from a multilateral to bilateral approach did not seem to improve the quality or pace of regional trade liberalisation.

Worse, bilateralism posed a new and vexing difficulty: the so-called *noodle-bowl problem*. Where trade flows had previously been governed by a consistent of multilateral rules (either WTO disciplines or the AFTA CEPT in Southeast Asia), the region was now criss-crossed by over 100 bilateral agreements. These varied widely in their tariff commitments, their procedural rules and the way they implemented WTO-Plus issues such as investment and services liberalisation. The resulting architecture is metaphorically compared to a tangled bowl of noodles, in which each trade dyad is effectively governed by a different set of trade rules. Economists argue this can act as a new trade

barrier in and of itself, as firms must manage the transaction costs of compliance with the complex set of rules (Capling & Ravenhill, 2011). This is especially pronounced in industries organised as regional production networks, where the stages of a final product are manufactured in many different countries (which each link between subject to different and complex bilateral rules). It can also pose the problem of 'trade diversion', where trade flows begin to follow political FTA structures, rather than economic efficiencies and market forces (Baldwin, 2007). For critics, the fragmentation costs associated with bilateralism were worse for regional trade integration than the (failing) multilateral strategies it had replaced.

Competing designs to multilateralise the noodle bowl

These limits of bilateralism created strong incentives to devise a region-wide trade architecture for the Asia-Pacific. The result was a move back towards regional rather than bilateral approaches, which began in the mid-2000s. The primary economic goal was to 're-multilateralise' the regional trade architecture, in order to fix the problems posed by the noodle bowl problem (Wilson, 2015). But political motivations also loomed large, as leading powers vied to supply a governance structure which would solidify their leadership credentials. The most fundamental question for any regional cooperation project – *Who belongs to the region?* – would emerge as a source of contention. China's and Japan's regional blueprints were anchored in nascent Asian forums, the ASEAN+3 summit (launched in 1997) and East Asia Summit (inaugurated in 2005). Developed in the aftermath of the AFC, these initiatives reflected a growing drive for regional solutions to Asia's problems. Unfortunately, disagreements between the region's major powers over how trade multilateralism should be designed quickly emerged.

China advocated trade integration among ASEAN+3 nations; while Japan proposed a larger 'Plus 6' membership (which included Australia, New Zealand and India). The East Asia Summit launched feasibility studies for both trade proposals, but little progress was made as Japan and China remained deadlocked on membership. This stalemate served the interests of ASEAN nations which feared the investment diversion towards the larger economies of Northeast Asia. They embarked instead on the negotiation of a string of so-called ASEAN+1 FTAs, which were deemed more advantageous as they preserved 'ASEAN centrality' in the regional architecture (Yoshimatsu, 2016). Concerned about the prospects of Asian-only regional integration initiatives, the US floated its own proposal for regional trade multilateralism: the Free Trade Area of the Asia-Pacific (FTAAP). Its purported benefits included the avoidance of closed regional blocs, an improvement in US-China economic relations, and the promotion of a high standard WTO-Plus approach to economic integration (Bergsten, 2007). But barriers to its realisation were also steep, due to stiff domestic opposition in the US to trade talks with China, and a reluctance in developing Asia to adopt WTO-Plus style liberalisation (Aggarwal, 2010; Dent, 2007). By the middle of the 2000s, it was clear that the region's three economic powers each had competing visions for what and whom precisely constituted the Asia-Pacific in trade terms.

The landscape of regional trade negotiations changed dramatically when the US announced in 2008 that it would join the investment and services negotiations of a small trading grouping, the P4 (Pacific Four, consisting of Brunei, Singapore, Chile, and New Zealand). The US decision triggered a round of accessions by Australia, Vietnam, and Peru, and the resulting 'mega-regional' agreement that emerged was baptised as

the TPP. The onset of the Global Financial Crisis, compelled the incoming President Obama to put trade policy under review until December 2009, with formal negotiations only starting in March 2010. The TPP gave the US unprecedented traction in its Asia diplomacy. It aimed to gather a critical mass of like-minded countries to create incentives for others to join to reap the gains from trade and avoid the costs of exclusion. While the P4 agreement was small in terms of its economic size, it offered a most attractive advantage from the point of view of the United States: compatibility with its trade policy preference for WTO-Plus rules and high tariff elimination (Solís, 2012). TPP was also a central pillar of President Obama's so called 'pivot to Asia' (later 'rebalance to Asia') policy, offering a strategy that went beyond a reorientation of military resources to also emphasise mutual economic gains. This TPP could reassure friends and foes of the staying power of the United States in Asia.

Rule-making was the central goal of the TPP negotiations. This was reflected in the complex negotiation agenda, with 20 non-tariff issues covering the gamut from intellectual property, services, competition policy, state owned enterprises, to the digital economy and more (Capling & Ravenhill, 2011). TPP parties vowed that they would not tolerate exclusions of sensitive products, and that participation would be open to all APEC nations willing to abide by these exacting standards. Malaysia, Canada, Mexico would eventually join the negotiations (Wilson, 2015). However, after more than two years it was not clear that the United States would reap all the benefits that it had claimed the TPP would offer. Projected economic gains were modest, as many TPP parties already had bilateral FTAs with each other, and the new markets to be opened were relatively small. Moreover, in terms of regional diplomacy it was hard to argue that an *Asia*-Pacific economic platform was in the making, as no major Asian economy was initially on board. Japan's admission to TPP negotiation in March 2013 altered that calculus. Its entry was the result of a tortured process, first in the search for national consensus to embark on unprecedented agricultural opening, and next in the demanding negotiations with the United States on the terms of admission. But Japan's admission doubled the expected economic gains for the United States, and made the TPP far more consequential for regional dynamics.

China responded by reactivating its Asian-focussed trade initiatives. It moved in the spring of 2011 to conclude – a year ahead of schedule – a feasibility study for a trilateral China–Japan–South Korea FTA. China also acquiesced to the membership configuration (ASEAN+6) that Japan had initially championed for an Asian trade grouping. When Japan and China proposed a blueprint for East Asia integration along these lines in August 2011, ASEAN reacted swiftly. By November, a competing mega-regional agreement, which instead endorsing the notion of ASEAN centrality, had materialised: the RCEP (Solís & Katada, 2015). The main objective of RCEP negotiations is to rationalise the string of ASEAN+1 FTAs. Hence, in its negotiation principles and objectives, RCEP parties aim for WTO-consistency and identify a narrower set of issue areas to cover trade in goods and services, investment, economic and technical cooperation, intellectual property, and dispute settlement. RCEP shares with TPP the ambition to grow larger, so it incorporates an open accession clause for economic partners, albeit only after the conclusion of the negotiations.

Given its large economic footprint, the inclusion of emerging economies and the gains to be had from slashing the still high tariff levels in developing Asia, RECP has enormous potential. A study by Petri and Plummer (2012) estimates that trade liberalisation among RCEP economies could yield annual income gains of approximately of $500

billion dollars by the year 2025. But the realisation of these gains depends on the quality of the liberalisation effort. RCEP negotiations have proven difficult and slow-moving. After several rounds of negotiation, RCEP parties agreed to aim for 80% tariff reduction in goods, but India in particular opted for a much lower level of liberalisation vis-a-vis some of the RCEP members (RCEP talks extended, 2016). India proposed a three-tiered approach offering 80% tariff reduction to ASEAN countries, 65% to Japan and South Korea, and a 42.5% to China, Australia and New Zealand (China-backed ASEAN, 2016). Disagreements at the negotiation table compelled RCEP parties to postpone the expected deadline for negotiations to 2017.

In October 2015, TPP countries finally struck a deal. The agreement achieved very high levels of overall tariff elimination (overall 99%), though fell short from the declared intent of not allowing 'sensitive sector' exclusions. Japan came last in terms of tariff slashing at 95% (due to its insistence of protecting the most sensitive agricultural products); but the United States also had the dubious honour of posting the longest tariff elimination period (at 30 years for truck tariffs). A detailed analysis of the WTO-Plus provisions in the TPP legal text is beyond the scope of this paper. However, some of the provisions that have attracted most attention (and controversy) include the adoption of the principle of free cross-border data flows, investor-state dispute settlement provisions, an expanded set of labour standards, and the adoption of an eight-year period of data exclusivity for biologics. Based on the actual TPP outcomes, the World Bank (2016) estimated income gains for all members at 1.1% of GDP, with Vietnam and Malaysia recording the largest relative gains at 10% and 8%, respectively.

Nevertheless, the fate of the TPP is highly uncertain – paradoxically, due to domestic politics in the US, the architect of the agreement. Opposition to trade agreements in the United States has grown with dissatisfaction over the distributional consequences of globalisation. In order to rally support for TPP, President Obama doubled down on the strategic rationale for the agreement, but with a different twist: as a competition over who writes the economic rules in the region, the United States or China. A positive vote from the Congress is required for ratification, but both candidates in the 2016 US Presidential election indicated they would block the deal in its present form (NPR, 2016). Because legal provisions in TPP require US ratification for the agreement to enter into force, the inward turn in US politics created significant doubts about the political viability of TPP.

Significant uncertainty also surrounds RCEP's ability to deliver substantial liberalisation. There is consensus among trade experts that to fulfil its potential, RCEP must produce: a tariff elimination ratio in the neighbourhood of 95%, a negative list for services and investment liberalisation, and include WTO-Plus rules on issues such as environmental protection and financial services (Basu Das, 2015). As Fukunaga (2014) points out, a mere rationalisation of the ASEAN+1 FTAs will not yield additional economic gains to Southeast Asian countries, which can only be achieved through a higher quality liberalisation effort than seen in previous agreements. But so far ASEAN countries have not displayed decisive leadership to level up the ambition. China, as the largest economy in the group, should arguably play this role. However, Ye's (2015) recent analysis of Chinese elites' views on RCEP does not reveal a strong commitment to do so. Because RCEP is built on the principle of ASEAN centrality, China sees limited utility to use it as a way to demonstrate its regional economic leadership. At the time of writing (September 2016), it remains to be seen what will emerge from the RCEP negotiations. It could very well be that the most defensive player – India – shapes outcomes through the logic of the lowest common denominator.

A clear lack of leadership is compromising the ability of these new mega-regional agreements to multilateralise the regional trade architecture – either via barriers to ratification (the TPP), or risks to achieving meaningful liberalisation (RCEP). If and when these leadership gaps are overcome, the mega-regionals can advance multilateralisation in two significant ways: through common rules among members and cumulative rules of origin. But significant challenges to multilateralisation will remain. First, neither provides a 'clean slate' for the region's trade architecture, as none of the existing FTAs will disappear. Hence, the larger frameworks offered by the mega-regionals will co-exist with the existing web of bilaterals (Solís, 2011). Second, both have contained a strong dose of bilateralism. In the TPP talks, the United States and Japan carried out market access negotiations on a bilateral basis. In RCEP, India's differentiated tariff offers also risk introducing a hefty dose of bilateralism. One of the most powerful benefits of a mega-regional trade agreement – a common tariff schedule – was thus compromised in both.

Third, and arguably more significantly, is the vexing question of which trade reform path the region should take. The TPP and RCEP embody competing visions for how the regional trade architecture should evolve. The exacting disciplines of the TPP's WTO-Plus rules will make it difficult for countries at a lower level of development to join. How Malaysia and Vietnam navigate the implementation of their TPP commitments will be crucial to discern the potential reach of TPP in developing Asia. In the case of RCEP, a low quality outcome with modest tariff liberalisation rates and weak rules would not create compelling incentives for new members to join (Wilson, 2015). If the region is to progress towards a pan-regional framework, in which direction would convergence operate? Obviously, the US would prefer TPP enlargement through China's accession. China could use TPP to advance its domestic economic reforms, just as it did in the past with WTO entry. However, China's decision to champion FTAAP – using both the TPP and RCEP as pathways – during its APEC presidency in 2014, signals that China is interested in a more proactive role in defining the economic rules for the region (Solís, 2014). Given the vast differences between the two mega-regionals, the proposition of stitching them together in an umbrella FTAAP negotiation appears uncertain at best.

Regionalism or fragmentation in the Asia-Pacific trade system?

The past 30 years have seen a dramatic transformation of the Asia-Pacific. The region cemented its role as the dynamo of the world economy became the theatre of operations for far-sprawling production networks, and it experienced sustained trade regionalisation, as evidenced by rising shares of intra-regional trade. These changes were accompanied by periodic bouts of institutional experimentation to spur trade regionalism through the pursuit of formal inter-state cooperation forums and agreements. The institutional manifestations have been diverse, with at least three distinct periods of regionalist activism. However, none have succeeded in delivering a coherent and integrated trade policy architecture for the economies of the region.

The late 1980s produced two innovations of vastly different scale: an Asia-Pacific platform (APEC) that eventually grew to comprise 21 economies; alongside a sub-regional effort among Southeast Asian countries to launch AFTA. Disagreements among a heterogeneous membership on the role and modus operandi of APEC, and the difficulty of liberalising ASEAN markets, proved daunting challenges. A decade later, the region moved to a more fragmented trading regime with the rapid proliferation of bilateral trade agreements. The stagnation of the WTO, the need to counter rising trade and

investment diversion from proliferating preferential trade deals, and the desire to disseminate national FTA templates were all powerful incentives for the spread of bilateralism. However, the modest results of opening small markets one at a time, and the sizable transaction costs of operating under a noodle-bowl of competing FTAs created incentives to multilateralise. The onset of the twenty-first century saw the birth of the competing mega-regionals. Each was driven by distinct (and somewhat incompatible) policy objectives, and each has suffered from leadership deficits that have prevented them reaching their full potential.

The one institutional development that has yet to gain traction is the one which is most needed: a multilateral trading architecture that can leverage the economic potential of the region as a whole. This paper has highlighted two major factors for the constant pull of fragmentation: development divides and geopolitical contests. The vast gap in terms in national capabilities and stages of development among countries in the region has consistently resulted in diverging preferences on policy commitments to be undertaken in regional integration forums. These disagreements were prevalent in discussions over the future of APEC and ASEAN integration, the appeal of bilateral FTA models, and more recently on the substance of mega-regional TPP and RCEP negotiations. But geopolitical contests have also left an imprint. The tension between Asian-only versus Asia-Pacific blueprints is long-standing: it informed the contests that led to the creation of APEC and the endorsement of the principle of ASEAN centrality. But the competition to define the contours of the region and supply a vision for economic integration has only intensified with China's growing desire to shape regional institutions and the United States determination to anchor its position as Pacific leader. Geopolitics will continue to exert a powerful fragmenting influence in the future evolution of the trading architecture.

Postscript

The election of Donald Trump to President of the United States on 8 November 2016 could well be a turning point in the future evolution of the trade architecture in the Asia-Pacific. Trade-bashing figured prominently – and to great effect – in Trump's campaign as he promised to withdraw the United States from TPP, renegotiate or terminate NAFTA, and impose punitive tariffs on China. At this juncture, it is not possible to know the extent to which the incoming Trump administration will alter the parameters of post-war American trade policy, but an important casualty is already evident: American participation in TPP. The Obama administration was forced to give up on the goal of ratifying TPP in the lame duck session, and Republicans (who regained control of both houses in the election) are unlikely to antagonise the elected President in a defining issue for him and his supporters.

Whether some elements of the TPP agenda can be rescued remains in question. Some possibilities include relaunching TPP among remaining members by amending the ratification clause (Solís, 2016); renegotiating TPP to incorporate 'fixes' demanded by the Trump administration; or proceeding to negotiate a bilateral trade deal among Japan and the United States. Needless to say, President Trump's long-held predilection for bilateral deals with the trade balance as a measure of success does not bode well for a proactive American agenda of economic multilateralism in the region.

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